



**Before the
OFFICE OF SCIENCE AND TECHNOLOGY POLICY
Washington, D.C. 20504**

**In the Matter of Request for Information on the Development of an Artificial
Intelligence (AI) Action Plan, Federal Register Number 2025-02305
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Comments of the American Consumer Institute

The American Consumer Institute Center for Citizen Research (ACI) is a nonprofit 501 (c)(3) educational and research institute with the mission to identify, analyze, and protect the interests of consumers in legislative and rulemaking proceedings. ACI submits these comments in response to a request for information (RFI) on the development of an artificial intelligence (AI) Action Plan.

Pro-Freedom AI Leadership

The advent of new and emerging advanced computation and artificial intelligence technologies have the power to augment and improve healthcare, education, finance, transportation, and more. But now, a budding bureaucracy is forming around AI technologies and their uses. With AI innovation under threat of burdensome and redundant compliance costs, a strong action plan is necessary to ensure American leadership. A strong action plan must recognize where legislation is necessary and where the government should let the market lead. Where states seek to regulate algorithmic bias, the Office of Science and Technology Policy should understand that mitigating algorithmic bias is already in the best interest of innovators, who have been working to address the problem for decades. Existing and burgeoning risk

management and regulatory frameworks are too vague and ought to be reformed if AI developers are to adhere to them as a plausible rebuttal against noncompliance.

Curbing needless regulations should be a priority. The Trump administration can signal to Congress through an executive order to take a light-touch approach to AI regulation. A strong action plan should help innovators through digitizing government records and by creating a federal sandbox or learning laboratory. It should also work with Congress on two *separate* federal frameworks on data privacy and artificial intelligence. For its part, Congress should learn from mistakes in the states that suggest trying to do both at once can be messy and complicated. By implementing these suggestions, the OSTP can build a robust AI Action Plan to ensure the AI sector can flourish in America.

The American Consumer Institute would like to thank the Office of Science and Technology Policy (OSTP) for seeking public comment on how it should conduct an AI Action Plan.

Legislating and Regulating for Algorithmic Bias

Policymakers and regulators are right to consider the impact of artificial intelligence on consumer safety and wellbeing. Still, they wrongly seek to solve a problem that the private sector is already addressing. Researchers and businesses have been working to correct biases for decades—and they continue to do so.¹ Large technology companies like IBM, Amazon, and Google have entire teams dedicated to AI fairness and bias reduction.² Such a consorted effort to address the issue is likely part of the reason there is no definitive proof that AI is more biased

¹ Alexandra George, "Thwarting Bias in AI Systems, Carnegie Mellon University's College of Engineering," December 11, 2018, <https://engineering.cmu.edu/news-events/news/2018/12/11-datta-proxies.html>; Miana Massey, Maryland Researchers Working to Correct Potential Bias in Artificial Intelligence, CBS News, February 20, 2023, <https://www.cbsnews.com/baltimore/news/maryland-researchers-working-to-correct-potential-biases-in-artificial-intelligence/>.

² R.K.E. Bellamy, et al, "AI Fairness 360: An Extensible Toolkit for Detecting and Mitigating Algorithmic Bias," *IBM Journal of Development* 63, no. 4/5 (July-September 2019): 4:1-4:15, <https://ieeexplore.ieee.org/document/8843908>; Amazon News, "How Amazon Works to Make Machine Learning Tools Fairer for Everyone," About Amazon, Last visited March 15, 2025, <https://www.aboutamazon.com/news/devices/how-amazon-works-to-make-machine-learning-tools-fairer-for-everyone>; and Google Research, "Responsible AI," Google Research, Last visited March 15, 2025, <https://research.google/teams/responsible-ai/>.

than human decision making. To the extent federal agencies, state legislatures, or industry seek to mitigate bias, results should be benchmark against human error, instead of a utopian vision of a world with no error. But the best approach would be to let models improve organically through trial-and-error processes in the private sector like has occurred for decades.

Many federal agencies also established their own internal protocols to limit AI bias as a part of the Biden administration's Executive Order 14110 on the Safe, Secure, and Trustworthy Development and Use of Artificial Intelligence. The Trump administration rightly repealed that order, which mainly eliminated the reporting requirements on frontier models, and asked departments and agencies to "revise or rescind all policies, directives, regulations, orders, and other actions taken under the Biden AI order that are inconsistent with enhancing America's leadership in AI."³ A Trump White Executive order in late January rightly directed OMB Director Russell Vought to revise Memoranda M-24-10 in accordance with "America's global AI dominance in order to promote human flourishing, economic competitiveness, and national security."⁴ OMB's original mandates were overly broad and unintentionally vague. They conflicted with the Trump administration's stated agenda for permissive AI innovation. And its rules would slow the pace of AI adoption at government agencies. Agencies should instead be directed to enforce already existing laws as they apply to AI and to avoid broad regulatory decrees.

Keep the AI Risk Management Framework Voluntary and Leave Room for Reform

In many state AI fairness proposals, policymakers provide an affirmative defense in court if companies prove they acted in accordance with the AI Risk Management Framework (RMF)⁵

³ <https://www.whitehouse.gov/fact-sheets/2025/01/fact-sheet-president-donald-j-trump-takes-action-to-enhance-americas-ai-leadership/>

⁴ Office of Management and Budget, "Advancing Governance, Innovation, and Risk Management for Agency Use of Artificial Intelligence," M-24-10, White House, March 28, 2024, <https://www.whitehouse.gov/wp-content/uploads/2024/03/M-24-10-Advancing-Governance-Innovation-and-Risk-Management-for-Agency-Use-of-Artificial-Intelligence.pdf>; <https://www.whitehouse.gov/presidential-actions/2025/01/removing-barriers-to-american-leadership-in-artificial-intelligence/>

⁵ National Institute of Standards and Technology, "AI Risk Management Framework," NIST, Last visited March 15, 2025, <https://www.nist.gov/itl/ai-risk-management-framework>.

that was developed under the National Institute for Standards and Technology (NIST) during the Biden administration. Importantly, complying with the RMF does not substitute for compliance with the law itself. To receive the defense in court, industry must prove that they both cured violations within the state law itself (thus complying with the provisions of the law) **and** that they complied with the NIST RMF. Both conditions must be satisfied. Think of the NIST AI RMF more like a floor that states then build atop. The RMF therefore does not substitute for compliance, but it does provide a guiding north star as a stand-in for the best practices businesses are encouraged to adopt in the AI ecosystem—making its development important as an iterative guide for AI development.

Unlike the widely respected, narrowly focused, and humble NIST privacy framework⁶—which benefited from decades of debate and research on normal and voluntary industry standards and best practices for protecting privacy—the AI RMF is vague, open-ended, ambiguous, and complex. It does not have the benefit of concrete directives nor the benefit of learning from decades of privacy norms.⁷ The AI RMF is much more broad and difficult to comply with, which limits its effectiveness as a defense in court. After all, compliance with vague and open-ended rules is by definition a matter of interpretation and discretion. If businesses decide the utility of compliance is minimal and that compliance with its vague suggestions is difficult then they will likely just ignore it.

The AI Risk Management Framework still needs time to mature. It should be narrowly rewritten in a way that gives businesses guidance on how to mitigate concrete, not hypothetical, risks. And it must naturally develop over time as AI becomes further integrated into private business activities as norms around using the technology naturally develop. Federal agencies should therefore make it clear that AI RMF has value because it is voluntary and iterative. Agencies should also make it clear that states should not be using it as a means of creating de-facto law. None of this is to suggest that the AI RMF does not have value. It can be a helpful

⁶ Katharina Koerner, Standardization Landscape for Privacy: Part 1—the NIST Privacy Framework, International Association of Privacy Professional, December 1, 2021, <https://iapp.org/news/a/standardization-landscape-for-privacy-part-1-the-nist-privacy-framework/>.

⁷ Dean W. Ball, "Here's What I Think We Should Do about AI Policy," Hyperdimensional, November 14, 2024, <https://www.hyperdimensional.co/p/heres-what-i-think-we-should-do>.

guide to industry standards and best-practices—but its value diminishes as it becomes compulsory.

Make Federal Data More Accessible

Generative AI runs algorithms to establish patterns based on copious amounts of collected data that it then turns into predictive uses. Better data access means more accurate predictions. Regulators, therefore, have a vested interest in streamlining rules and regulations that slow the dissemination of information that can be used for model training. But the federal government sits on vast troves of useful—but inaccessible or unusably formatted—data for model training. Federal agencies should start by making privacy protected, de-identified healthcare data available for AI training and then extend that into other domains like financial and environmental data. Dandelion Health is already filling the market need for large, de-identified healthcare data in the private sector.⁸ Agencies should complement those efforts by making its privacy-protected data more available. Then the government should prioritize digitizing legacy records and unstructured data that can be used for processing so that the information can be made accessible to consumers, innovators, and government workers through artificial intelligence applications.

Data limitations are particularly burdensome to small startups and fledgling AI firms with fewer resources to invest in data procurement. As the nonprofit Engine Foundation notes, “government possesses troves of data useful for AI, especially for tailored, specialized models.”⁹ Governments should make that data more readily available and more easily accessible. Even small data access improvements could lead to large impacts for startups. The AI startup Benchmark Labs, for example, relies on government data sources to provide farmers with real-

⁸ Katie Jennings, How This Startup Is Using 10 Million Patient Records to Reduce Bias in Healthcare AI, Forbes, December 21, 2023, <https://www.forbes.com/sites/katiejennings/2023/12/21/how-this-startup-is-using-10-million-patient-records-to-reduce-bias-in-healthcare-ai/?sh=70c073f9351d>.

⁹ Nathan Lindfors, “The Pro-Startup Policy Agenda to Power AI Innovation,” Engine, March 4, 2025, <https://www.engine.is/news/category/the-pro-startup-policy-agenda-to-power-innovation-and-win-the-ai-race>.

time data about micro-climate weather that affects crop yields and agricultural output.¹⁰ Due to data handling and postprocessing constraints, the government data is only available with a lag. Benchmark Labs must instead turn to more expensive and complex server data.¹¹ The federal government should take steps to improve documentation and make quality, affordable data more accessible.

Collaborate with Congress on a Data Privacy Framework

Data privacy laws reduce data access, which is critical for model accuracy and bias mitigation. That makes model creation and finetuning more expensive and complicated. Different AI applications will require access to different types of data. Fortunately, since data differs by type and by rule, the United States is well positioned to build out its already existing sectoral approach to privacy, which has already contributed to the globally vibrant American technology sector by keeping the rules light-touch. Where different rules can be tailored to fit different kinds of data without stifling innovation, that should be done. Still, the United States needs a federal framework on privacy if only to pre-empt the growing patchwork of state data privacy laws that threatens to undermine AI adoption by startups and small AI businesses that rely on specific data types or that would have trouble complying with different rules in many jurisdictions. State laws on the matter are often binary, opaque, and could undermine an AI sector trying to fill market needs and meet consumer demands.

A federal standard on consumer data privacy could coordinate this mishmash of rules into one unified framework that does not complicate data access for industry on the AI frontier—but only if that framework is clear, concise, and narrowly tailored so that it is not stretched beyond its original intent. California provides a cautionary tale. It empowered a state agency to interpret and enforce its state consumer data privacy law, which it has used to apply expensive administrative burdens and privacy-invasive protocols to automated decision-making

¹⁰ Benchmark Labs, “AI-Ready Open Data Assets RFI, DOC-2024-0007,” <https://static1.squarespace.com/static/571681753c44d835a440c8b5/t/6695422d489f5e3a8bd641f7/1721057837134/Data+availability+RFI+-Benchmark+Labs.pdf>

¹¹ Ibid.

technologies.¹² The Trump administration should work with Congress to keep a national framework narrowly tailored so that it is not inadvertently applied to artificial intelligence by future administrations. Provisions in the imperfect American Privacy Rights Act of 2024 that would have terminated proposed rulemakings by the FTC are a good first step—but they should go further to limit agency overreach.¹³ Agencies should encourage Congress to take the lead on data privacy and help them explore more options to limit the interpretive power of unelected agencies.

Importantly, although data policy has impacts on artificial intelligence, it should be developed independently of any national AI framework. States have already tried to govern data privacy and artificial intelligence at once in their AI fairness proposals before discovering that these laws can be nightmarish to implement at the same time. Congress should not make the same mistake.

An Executive Order and Working with Congress on a Light Touch AI Framework

Whatever the harms of the data privacy patchwork, the artificial intelligence patchwork will be worse. Some regulatory advocates suggest that AI has developed in the “Wild West”—or what they perceive as unregulated environments. State policymakers have interpreted a lack of Congressional action on artificial intelligence policy as a sign that Washington is politically gridlocked and unable to engage in artificial intelligence regulation.¹⁴ In 2025, states have already proposed 781 AI bills, which has already eclipsed the total number of AI bills in 2024.¹⁵ That number will continue to grow unless Congress asserts supremacy on certain AI issues with

¹² Logan Kolas, "Opposition to Proposed Automated Decision-Making Technology Regulations," Public Comment by the American Consumer Institute, February 20, 2025, <https://www.theamericanconsumer.org/2025/02/public-comments-opposition-to-proposed-automated-decision-making-technology-regulations/>.

¹³ United States Congress, "American Privacy Rights Act of 2024" discussion draft, https://d1dth6e84htgma.cloudfront.net/American_Privacy_Rights_Act_of_2024_Discussion_Draft_0ec8168a66.pdf.

¹⁴ Carl Franzen, "Trump Revoking Biden AI EO Will Make Industry More Chaotic, Experts Say," VentureBeat, February 11, 2025, <https://venturebeat.com/ai/trump-revoking-biden-ai-eo-will-make-industry-more-chaotic-experts-say/>.

¹⁵ "Artificial Intelligence (AI) Legislation Tracker," MultiState, Last visited March 15, 2025, <https://www.multistate.ai/artificial-intelligence-ai-legislation>.

their own framework. Just like with privacy, a patchwork of AI rules threatens to limit capital investment, raise compliance costs, and decrease competition by harming smaller businesses.

Among this avalanche of state rules, an expansive AI fairness regime is sprawling across state capitols, which threatens to undermine the American leadership position in artificial intelligence. With 24 AI fairness proposals in 16 states, Congress must take action to mitigate a NEPA-style compliance regime that drowns American innovators in paperwork and subjects them to a nightmarish compliance regime. To avoid the directly burdensome requirements, states should avoid passing AI fairness legislation. If they persist, which is likely, the Trump administration should issue an executive order making it clear that AI development should be light-touch and permissive. It should also require regulatory rulemaking to undergo a cost-benefit analysis before implementation.¹⁶ It should require federal agencies to compile and organize unstructured data. And it should call on relevant federal agencies to create an action plan and menu of options for federal pre-emption of state AI fairness laws.

Congress will decide if and how to act on this framework, but the Trump administration should be deliberate with its positions, make its preferences clear, and it should provide a menu of options for Congress to consider as a potential framework for federal pre-emption as the increasingly unnavigable state AI web unfolds. Determining which rules—or lack thereof—should be set by Congress and where states should be given creative license will not be easy to determine, which is why the administration should work with Congress to create a light-touch and permissive framework.

Create a Sandbox for Artificial Intelligence Innovators

Federal agencies should examine innovative and permissive frameworks in the states and adopt their best practices at federal agencies when appropriate. Utah is leading by example in smart AI regulation. Unlike other states pursuing heavy-handed administrative compliance

¹⁶ Neil Chilson and Josh Smith, "Comment on Request for Information on the Development of an Artificial Intelligence Action Plan," Abundance Institute, March 15, 2025, <https://abundance.institute/articles/development-of-an-AI-action-plan>.

regimes, Utah created a flexible and innovative approach to AI governance by establishing a sandbox for artificial intelligence innovators where businesses can press the “pause” button on outmoded AI regulations that can be updated as impediments become clearer. Rather than have services outright blocked by regulatory ambiguity, sandbox participants can operate under the watchful eye of expert regulators, particularly during their development and expansion phase. Unfortunately, the approach in Utah is limited if only because the vast majority of the U.S. regulatory burden is from federal rules and regulations, not state barriers. As the sandbox is drafted, federal regulators should search for and phase-out AI regulations that cannot pass cost-benefit analysis tests. Then the federal government should establish a sandbox where AI innovators can apply for regulatory relief—or seek information about vague regulations—through regulatory mitigation agreements that promote innovation. Importantly, participating businesses should be asked to voluntarily report progress made toward their milestones. These reports will be handed up to the program administrators to learn how products or services can strategically and cost-effectively comply with existing rules once their participation in the sandbox expires. After all, the purpose of the sandbox is to prepare the participant for business after the sandbox—and this is an opportunity to inform Congress and federal agencies what is not working. As such, the overseeing agency should keep documented progress reports so that it can report to Congress and other federal agencies its recommendations about rules, laws, and regulations that it determines need reform or repeal.

Conclusion

In the face of a growing patchwork of state AI legislation and the bureaucracy that surrounds it, a robust AI Action Plan is essential. OSTP should recognize that, in many cases, new legislation is redundant, unnecessary, costly, and would likely inhibit innovation. In these cases, such regulations should not be pursued. Instead, an executive order can signal to lawmakers that a light-touch approach should be the standard and that frameworks on which businesses depend for plausible rebuttals should be reformed for clarity and specificity. Agencies should work with Congress on federal frameworks for AI and for data privacy—but

those reform efforts must be kept separate. Finally, OSTP should support the digitization of government records and the creation of a federal learning laboratory to provide innovators with the resources and environment they need to create their best models and AI applications. This is the kind of action plan America needs to stay ahead in the global AI race.

Respectfully submitted,

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